

Stay Motivated

Your budget won't work unless you stick with it. One of the keys to staying motivated is to keep the budgeting process from being too complex or time-consuming. Make budgeting a family activity and involve each family member in some way. Reward yourself for reaching saving and spending goals and making progress on paying down debt.

One of the most rewarding things about budgeting is seeing results every month. This is easy if you use personal-finance software, because once you enter your expenditures and income for the month, a click of the mouse produces reports that show budgeted versus actual expenses by category, your new and improved net worth, balances in savings and investment accounts, and more. You can even print or view colorful graphs and pie charts for a vivid picture of how you're doing.

Remind yourself of the importance of your real goals. The budget is just a tool that increases your awareness of where your money goes and provides guidelines for spending so your money goes toward the things that are most meaningful to you.